Amendment of section 12AB.

7. In section 12AB of the Income-tax Act, for sub-sections (4) and (5), the following sub-sections shall be substituted, namely:—

'(4) Where registration or provisional registration of a trust or an institution has been granted under clause (*a*) or clause (*b*) or clause (*c*) of sub-section (1) or clause (*b*) of sub-section (1) of section 12AA, as the case may be, and subsequently,—

(*a*) the Principal Commissioner or Commissioner has noticed occurrence of one or more specified violations during any previous year; or
(*b*) the Principal Commissioner or Commissioner has received a reference from the Assessing Officer under the second proviso to sub-section (3) of section 143 for any previous year; or
(*c*) such case has been selected in accordance with the risk management strategy, formulated by the Board from time to time, for any previous year,

the Principal Commissioner or Commissioner shall,—

(*i*) call for such documents or information from the trust or institution, or make such inquiry as he thinks necessary in order to satisfy himself about the occurrence or otherwise of any specified violation;
(*ii*) pass an order in writing, cancelling the registration of such trust or institution, after affording a reasonable opportunity of being heard, for such previous year and all subsequent previous years, if he is satisfied that one or more specified violations have taken place;
(*iii*) pass an order in writing, refusing to cancel the registration of such trust or institution, if he is not satisfied about the occurrence of one or more specified violations;
(*iv*) forward a copy of the order under clause (*ii*) or clause (*iii*), as the case may be, to the Assessing Officer and such trust or institution.

Explanation.—For the purposes of this sub-section, the following shall mean "specified violation",—

(*a*) where any income derived from property held under trust, wholly or in part for charitable or religious purposes, has been applied, other than for the objects of the trust or institution; or
(*b*) the trust or institution has income from profits and gains of business which is not incidental to the attainment of its objectives or separate books of account are not maintained by such trust or institution in respect of the business which is incidental to the attainment of its objectives; or
(*c*) the trust or institution has applied any part of its income from the property held under a trust for private religious purposes, which does not ensure for the benefit of the public; or
(*d*) the trust or institution established for charitable purpose created or established after the commencement of this Act, has applied any part of its income for the benefit of any particular religious community or caste; or
(*e*) any activity being carried out by the trust or institution,—
  (*i*) is not genuine; or
  (*ii*) is not being carried out in accordance with all or any of the conditions subject to which it was registered; or
(*f*) the trust or institution has not complied with the requirement of any other law, as referred to in item (*B*) of sub-clause (*i*) of clause (*b*) of sub-section (1), and the order, direction or decree, by whatever name called, holding that such non-compliance has occurred, has either not been disputed or has attained finality.

(5) The order under clause (*ii*) or clause (*iii*) of sub-section (4), as the case may be, shall be passed before the expiry of a period of six months, calculated from the end of the quarter in which the first notice is issued by the Principal Commissioner or Commissioner, on or after the 1st day of April, 2022, calling for any document or information, or for making any inquiry, under clause (*i*) of sub-section (4).'.